In 2018–19, GDP, GFCF and DOBS (at 2011–12 prices) were Rs 140 lakh crore, Rs 44.6 lakh crore and Rs 22 lakh crore, respectively. GFCF was 31.9 per cent of GDP and DOBS 15.7 per cent of GDP in 2018–19. In 2014–15, GDP, GFCF and DOBS (at fixed 2011–12) prices were Rs 98 lakh crore, Rs 32.8 lakh crore and Rs 17.7 lakh crore. The ratio of GFCF to GDP and DOBS to GDP was 33.5 per cent and 18 per cent, respectively. Compared to 2014–15, GFCF (represented by ratio of GFCF to GDP) and investment in fixed dwellings, buildings and structures (represented by ratio of DOBS to GDP) declined from 33.5 per cent and 18 per cent to 31.9 per cent and 15.7 per cent respectively. In 2011–12, these two ratios were 34.3 per cent and 19.8 per cent. In eight years, the GFCF and DOBS declined by about 2.4 per cent and 4.1 per cent. These are quite sharp, large declines.

The stagnation in infrastructure investment is also corroborated by bank credit to the infrastructure segment. RBI data indicates that infrastructure investment (classified further in four subsectors of power, telecommunication, roads, and other infrastructure) was Rs 10.56 lakh crore at the end of March 2019 and Rs 10.54 lakh crore at the end of March 2020. Infrastructure bank credit outstanding at the end of financial year 2015–16 was Rs 9.65 lakh crore, which declined in absolute terms to Rs 9.06 lakh crore and Rs 8.90 lakh crore in the years 2016–17 and 2017–18. As a proportion of GDP at current prices, infrastructure lending by banks declined from 7 per cent in 2015–16 to 5.6 per cent in 2019–20. The infrastructure lending segment also had the highest proportion of non-performing loans.

National Highways Have Grown in Fits and Starts

In 1951, 19,811 km of roads were designated as national highways. This increased to 23,798 km in the next 10 years and stayed almost unchanged a decade later (23,838 km in 1971). The 1970s saw the first major spurt when the designated national highways increased to 31,671 km in 1981.